

The Development of NAFTA

Canada got access to a larger market to import/export goods.

The US wanted access to natural resources such as oil, gas, minerals, lumber and Canada's cultural industries.

Mexico was added to the FTA.

Since 1994, Mexico's exports to Canada have increased 200% and Canadian exports to Mexico have increased 25%

1989: Free Trade between Canada and US is introduced



1994: Free Trade agreement expands to include Mexico. Thus resulting in NAFTA



- Associated with ***laissez faire economics*** (invisible hand)
 - Can allow for faster growth.
- Limited government involvement
- entrepreneurship and investment encouraged
- Often positively correlated with high per capita income.